

Notes: Tadelis (AER, 1999)

What's in a Name? Reputation as a Tradeable Asset

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1 Big picture

- **Question.** What economic forces make a firm name a valuable and tradeable asset, and what do those forces imply for reputation dynamics?
- **Core idea.** A firm's name summarizes past performance. If customers cannot observe whether ownership or control has changed behind the name, then a good name can be sold to a new owner and still command a premium.
- **Main mechanism.** The model is an adverse-selection model, not a moral-hazard repeated-game model. Good and bad agents differ in their probabilities of success. Customers observe the history of the name but not the identity or type of the current owner.
- **First main result.** Successful names must be traded in every equilibrium. If a successful name were not traded, it would reveal a good owner and command a higher service price than a new name, creating profitable demand for the name.
- **Second main result.** There is no equilibrium in which only good types buy successful names. Some bad types must buy good names in equilibrium.
- **Key tension.** Two forces determine who values a reputation more. The *reputation maintenance effect* makes good types value a good name because they are more likely to preserve it. The *reputation start-up effect* makes bad types value a good name because good types can more easily build their own reputation from scratch.
- **Name changes.** Poor past performance lowers a name's value. When a name becomes sufficiently damaged, a firm may abandon it and start with a clean name. The model explains why firms sometimes change names after scandals or failures.
- **Economic takeaway.** Reputation is not only a dynamic incentive device; it is also an information-bearing asset whose value depends on hidden changes in ownership, control, or type.

2 Incremental contribution of the paper

- **Moves reputation theory from repeated-game moral hazard to adverse selection.** Earlier reputation models, especially Kreps-style models of corporate culture and brand names, rely on equilibrium punishments and infinite or long horizons. Tadelis shows that tradeable reputation can arise from Bayesian updating about hidden types.
- **Explains why reputations are bought and sold in all equilibria.** In many repeated-game models, reputation may or may not be valuable depending on equilibrium selection. Here, hidden ownership shifts force an active market for successful names.
- **Explains why bad types can buy good reputations.** Standard intuition suggests good types should value good reputations more because they can maintain them. Tadelis identifies the opposing start-up effect: good types can build their own names, whereas bad types cannot.
- **Provides a theory of name changes.** The model gives a formal role to the common practice of abandoning damaged names or rebranding after poor performance, scandals, or mergers.
- **Links intangible assets to ownership opacity.** The paper interprets goodwill, brand names, restaurant names, firm names, and reputational capital as assets whose value depends on imperfect observability of who is behind the name.
- **Extends the theory of the firm.** The paper complements property-rights theories of tangible assets by showing that intangible names can also be assets with market value and allocative consequences.

3 Model primitives and measurement

3.1 The economic object: a name as a reputation asset

A firm is represented by a unique name. The name is the public label attached to the firm's past performance. Customers use the name's history to form beliefs about the current producer behind the name.

Interpretation: The name is not a passive label. It is a state variable that carries information, affects the price customers are willing to pay, and can be transferred to another agent.

3.2 Agents, clients, and service outcomes

- Each period, clients hire agents to provide a service.
- Each agent runs a firm identified by a name.
- There is a continuum of clients and agents.
- Clients are on the long side of the market, so competition among clients makes them pay the full expected value of the service.
- A successful service produces payoff 1; a failure produces payoff 0.

Interpretation: With this normalization, the service price equals the customer's expected probability of success. A better reputation raises the price because it raises the posterior probability that the current owner is a good type.

3.3 Types

There are two types of agents:

$$G \text{ and } B.$$

Good agents are a fraction γ of the population. Bad agents are a fraction $1 - \gamma$. Success probabilities satisfy

$$P_G \in (0, 1), \quad P_B < P_G.$$

The paper normalizes

$$P_B = 0.$$

Interpretation: The normalization $P_B = 0$ makes the logic transparent: a failure is especially informative and a bad agent cannot build a good record on his own. The qualitative results survive when $0 < P_B < P_G$.

3.4 Assumption 1: noncontractible outcomes

Compensation cannot be based on the transaction outcome.

This means that courts or third parties cannot verify success and failure well enough to enforce outcome-contingent contracts.

Interpretation: Customers pay up front based on expected performance. If outcomes were contractible, reputational pricing would be less central because clients could write contracts contingent on realized quality.

3.5 Assumption 2: unobservable ownership shifts

Clients do not observe shifts of name ownership.

A customer who hires a firm with a successful history cannot tell whether the current agent produced that history or bought the name from someone else.

Interpretation: This is the key assumption. If ownership changes were perfectly observed, a new owner could not automatically inherit the old owner's reputation. The market for names would become much less powerful.

3.6 Assumption 3: possible name changes

At the beginning of each period, an active agent can retain his name or change it unobservably.

Interpretation: This captures the fact that firms and restaurants can rebrand, and that consumers may not trace every failed owner or manager behind a new name.

3.7 Assumption 4: not all agents can change names

A small arbitrary fraction $\varepsilon > 0$ of agents cannot change their name. Everyone else can change names at no cost.

Interpretation: This rules out unreasonable belief equilibria in which all agents try to abandon names and customers believe every old name is worse than an anonymous new name. If some names remain sticky, Bayes' rule forces customers to treat successful old names as informative.

3.8 Histories and notation

The relevant public histories are:

$$S = \text{past success}, \quad F = \text{past failure}, \quad \theta = \text{no past record}.$$

At time $t = 1$:

- $w_1(h)$ is the service price for a firm with history $h \in \{S, F, \theta\}$.
- $v(S)$ and $v(F)$ are the market values of names with histories S and F .
- $\Pr\{G \mid h\}$ is the posterior probability that the current agent is good given history h .

Since clients pay expected surplus,

$$w_1(h) = \Pr\{G \mid h\}P_G.$$

Interpretation: The model turns reputation into a Bayesian pricing object. The name is valuable because its history changes customers' posterior belief about the agent's type.

4 Theoretical specifications

4.1 Benchmark wage for a new name

At date 0, when all names are new, clients cannot distinguish agents. The initial service price is

$$w_0 = \gamma[P_G \cdot 1 + (1 - P_G) \cdot 0] + (1 - \gamma) \cdot 0 = \gamma P_G.$$

Interpretation: A new name receives the population average quality. Reputation begins with no information premium.

4.2 Market clearing in the two-period model

Let δ be the fraction of new good agents who buy successful names at $t = 1$. Let ρ be the fraction of new bad agents who buy successful names at $t = 1$. The supply of successful names comes from good agents in generation 0 who succeeded and retire, so market clearing requires

$$\gamma P_G = \delta\gamma + \rho(1 - \gamma). \quad (1)$$

Interpretation: This equation says the number of successful names available for sale must equal the demand from entering good and bad types. The equilibrium composition of buyers determines how much customers trust a successful name after trade is possible.

4.3 Posterior beliefs after a successful name

Given δ and ρ , Bayes' rule gives

$$\Pr\{G \mid S\} = \frac{\gamma P_G + \delta\gamma}{\gamma P_G + \delta\gamma + \rho(1 - \gamma)}.$$

Using market clearing, the expression simplifies to

$$\Pr\{G \mid S\} = \frac{P_G + \delta}{2P_G}. \quad (2)$$

Interpretation: A successful name is valuable because it is more likely to be connected to a good type. But its informational content depends on who buys successful names in equilibrium.

4.4 Posterior beliefs after a new name

For a name with no track record, the posterior is lower because some good types have bought successful names and left the new-name pool. In the limiting case $\varepsilon = 0$, the posterior can be written as

$$\Pr\{G \mid \theta\} = \frac{2\gamma - \gamma P_G - \delta\gamma}{2 - 2\gamma P_G}. \quad (3)$$

Interpretation: Buying a successful name affects not only the price of successful-name firms. It also changes the composition of agents left behind under anonymous new names.

4.5 Name value

The equilibrium value of a successful name is

$$v(S) = w_1(S) - w_1(\theta).$$

Interpretation: A successful name is worth the incremental price premium it commands over entering with a new, unproven name.

4.6 Proposition 1: successful names are traded in all equilibria

Statement. Successful names S are traded in all equilibria.

Proof logic. Suppose no successful names are traded. Then a successful name must have zero sale value. But if no names are traded and bad types cannot succeed, a successful name implies the current owner is good. Therefore $w_1(S) > w_1(\theta)$. Any new agent would then be willing to pay a positive price for the successful name. This contradicts the assumption that no successful names are traded.

Interpretation: The value of reputation does not require a repeated-game punishment equilibrium. It follows from hidden information and Bayesian updating.

4.7 Lemma 1: entering agents are indifferent at equilibrium prices

Statement. In any equilibrium, new agents and continuing agents who failed are indifferent between buying a successful name and not buying one.

Interpretation: If one type strictly preferred buying the name, all entering agents would strictly prefer it because in the final period the name only raises current price. Since successful names are scarce, the price adjusts until buyers are indifferent.

4.8 Proposition 2: continuum of two-period equilibria

Statement. There exists $\delta^* < P_G$ such that (δ, ρ) is an equilibrium if and only if $\delta \in [\delta^*, P_G]$ and market clearing holds.

Interpretation: The two-period economy admits multiple equilibria. Some have bad types buying many good names; some are closer to strong separation. But the common feature is that successful names trade.

4.9 Proposition 3: no equilibrium with only good buyers in the three-period model

Statement. In the three-period economy, no equilibrium exists in which successful names are bought only by good types, and $w_2(SF) > w_2(\theta\theta)$.

Intuition. If only good types buy successful names, then customers attribute a later failure under that name to bad luck rather than to a bad owner. The name retains value after failure. A bad type, who will fail for sure, benefits more from that post-failure premium than a good type, who fails only with probability $1 - P_G$. Therefore bad types are willing to outbid good types.

Interpretation: The strongest naive sorting story cannot hold. If customers believe good reputations are always bought by good types, then bad types have the strongest incentive to buy those reputations.

4.10 Reputation maintenance effect

The reputation maintenance effect says good types value successful names because they are more likely to preserve them.

Interpretation: This is the force emphasized in earlier reputation models: good types are more willing to buy or invest in reputations because they can sustain future rents.

4.11 Reputation start-up effect

The reputation start-up effect says bad types may value successful names more because good types can more easily build a new successful name from scratch.

Interpretation: This is the paper’s key new force. Bad types need to buy reputation precisely because they cannot generate it through performance.

4.12 Propositions 4 and 5: longer horizons

Proposition 4. For any finite- or infinite-horizon economy, names must be traded in all periods of any dynamic equilibrium.

Proposition 5. For any finite- or infinite-horizon economy, successful names must be bought by some bad types in all periods except the last one of any dynamic equilibrium.

Interpretation: The main forces are not artifacts of a two-period example. Hidden ownership shifts and adverse selection continue to imply trade in reputational assets and mixed buyer quality.

5 Identification and theoretical strategy

5.1 What the model isolates

The paper isolates how reputational assets can arise from *hidden information about the current owner*, even without hidden action. There is no choice of effort or quality in the model. Once an agent’s type is set, success probabilities are fixed.

Interpretation: This is important because it separates reputation-as-incentive from reputation-as-information. The former disciplines behavior; the latter prices beliefs about types.

5.2 Why nonobservability is the key assumption

If clients observed every ownership shift, a buyer of a successful name would be known to be new. The old name would no longer carry the same posterior belief. The paper’s market for names therefore depends on the inability of clients to fully trace who is currently behind the label.

Interpretation: The model gives a precise microfoundation for why brands, restaurant names, and firm names can be valuable even when personnel change.

5.3 Why finite horizons matter

Standard reputation models often require long horizons because agents must care about future punishments. Tadelis uses a finite overlapping-generations structure to show that reputational assets can have value even when agents live only two periods.

Interpretation: The robustness to short horizons is the paper’s major contrast with repeated-game reputation models.

5.4 Why adverse selection matters

The core object is customer uncertainty about agent type. A history of success changes beliefs about type. Trading and name changing alter the mapping from history to current type.

Interpretation: Reputation dynamics emerge from Bayesian inference, not from equilibrium threats.

5.5 Why some bad types must buy good names

The three-period logic shows that if customers think good names are exclusively bought by good types, the name becomes too durable after failure. That durability makes the name especially valuable to bad types. Therefore equilibrium beliefs must allow bad types among buyers.

Interpretation: Reputation markets cannot perfectly sort high-quality owners into high-quality names. The possibility of reputation resale creates adverse selection within the market for reputations.

5.6 Threats and limitations

- The model assumes perfect observation of name histories but non-observation of ownership shifts; in reality both are partial.
- The model has no moral hazard. Owners do not choose effort or quality after buying a name.
- Welfare is not analyzed. The paper establishes equilibrium forces, not whether name trading improves welfare.
- The model uses one-owner service firms as the baseline, so extensions to large firms require interpretation through managers, owners, teams, or brand portfolios.
- Name changes are modeled starkly; a richer model would allow heterogeneous rebranding costs and partial consumer awareness.

Interpretation: These simplifications are deliberate. They allow the paper to show cleanly that adverse selection alone can make reputation a tradeable asset.

6 Figures

6.1 Figure 1: The Time Line for Each Period and Figure 2: A Two-Period Economy

Read:

- Figure 1 shows the within-period order: a new agent chooses or buys a name, the client hires the firm and pays up front, success or failure is realized, and a retiring agent can sell the name.
- The continuing agent can change name after observing the realized outcome.
- Figure 2 shows the two-period overlapping-generations economy.
- Generation 0 is active from $t = 0$ to $t = 1$, generation 1 spans both periods, and generation 2 enters at $t = 1$.
- The timing creates a market for names at $t = 1$: exiting successful generation-0 agents supply successful names, and entering agents can buy them.

Interpretation: Figure 1 clarifies why names can be assets: performance happens before retirement, and retirement happens before the name loses relevance. Figure 2 clarifies why reputation trading can exist even in a very short finite horizon.

Economic message: The model does not need infinite repetition. It only needs overlap between retiring agents with histories and entering agents who can buy those histories.

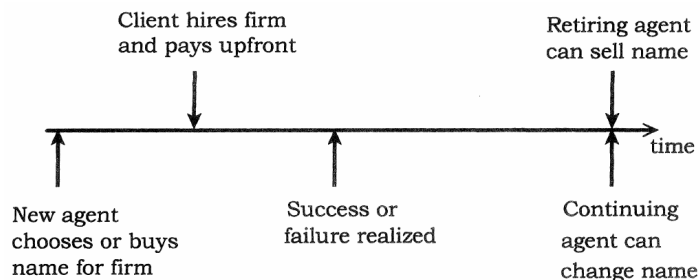


FIGURE 1. THE TIME LINE FOR EACH PERIOD

Figure 1: The time line for each period

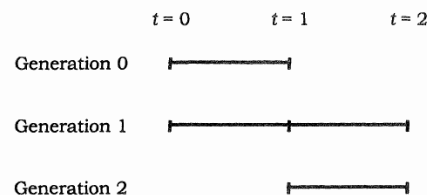


FIGURE 2. A TWO-PERIOD ECONOMY

Figure 2: A two-period economy

6.2 Figure 3: A Three-Period Economy

Read:

- Figure 3 adds one more overlapping generation.
- The added period makes it possible to compare the future value of a successful name after subsequent success or failure.
- This is the environment in which Proposition 3 rules out an equilibrium where only good types buy successful names.
- The key additional state is a name that was successful before purchase but then failed: SF .

Interpretation: The third period is not added for realism alone. It introduces continuation values after the buyer's performance is observed, which is exactly where the start-up effect appears.

Economic message: The figure shows why the buyer composition of successful names matters dynamically: customers later update beliefs based on both old and new performance under the same name.

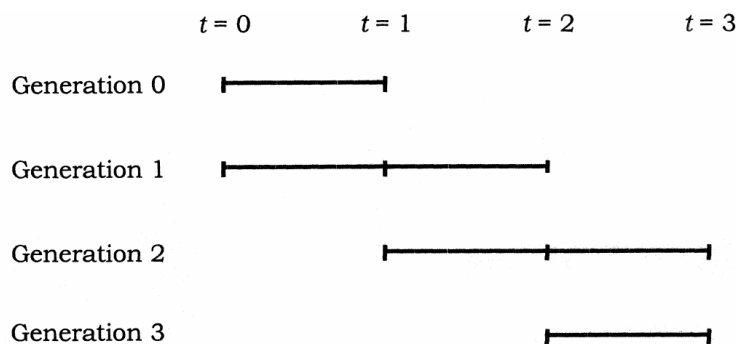


FIGURE 3. A THREE-PERIOD ECONOMY

Figure 3: A three-period economy

7 Interpretive synthesis

7.1 What makes a name valuable?

A name is valuable when customers use its history to form expectations and cannot perfectly observe who is currently behind the name. The old history remains attached to the name, so a new owner can partially inherit the old owner's reputation.

7.2 Why does a market for names arise?

Successful names have positive informational value. If they were not traded, their value would be even higher because they would reveal an unchanged good owner. This creates demand and forces trade.

7.3 Why does reputation trading create adverse selection?

The buyer of a good name is not necessarily the same type as the creator of the good name. Because bad types have difficulty generating a successful record, they may value purchased reputation especially highly.

7.4 How does the paper explain rebranding?

A failed name carries a negative history. If customers cannot perfectly connect a new name to the old owner, a bad or unlucky firm may prefer to abandon the damaged name and start fresh.

7.5 How does the paper connect to organizations?

In large firms, the relevant hidden shift may be ownership, management, key employees, or team composition. If customers or investors cannot fully observe these changes, the same logic applies: a name or brand can trade at a value that reflects imperfect inference about the current human capital behind it.

8 Short summary

- Tadelis studies a model in which a firm's only asset is its name.
- The name summarizes past performance and affects customer beliefs.
- The paper uses adverse selection rather than moral hazard.
- There are good and bad types with different probabilities of success.
- Outcomes are observable as histories but not contractible.
- Ownership shifts are not observed by customers.
- Agents can sometimes change names, allowing damaged reputations to be abandoned.
- Successful names must trade in all equilibria.
- The two-period model has multiple equilibria but always has trade of successful names.
- In the three-period model, only-good-type ownership of successful names cannot be an equilibrium.
- The reputation maintenance effect makes good types value names because they can preserve them.
- The reputation start-up effect makes bad types value names because they cannot easily create their own good reputations.
- The start-up effect is the paper's distinctive force.

- Longer finite and infinite horizons preserve the main results.
- The paper explains name trading, name changes, rebranding, and the fragility of reputation as an informational asset.

9 Conclusion

9.1 Core conclusion

Tadelis shows that firm names can be tradeable reputation assets when customers observe performance histories but do not observe who currently owns or controls the firm. In such a setting, successful names must trade, and the market for successful names cannot be populated only by good types.

9.2 Economic intuition

A successful name increases the price a firm can charge because customers infer a higher probability of good service. But if the owner behind the name may have changed, then customers must price the name using beliefs about the buyer population. Those beliefs imply an adverse-selection problem inside the reputation market itself.

9.3 Incremental contribution

The paper’s key contribution is to show that reputation can be a durable, tradeable asset even without repeated-game punishments. The value of the asset is generated by hidden ownership shifts and Bayesian updating, not by equilibrium threats. This changes how economists should think about brands, goodwill, firm names, and reputational capital.

9.4 What the paper does not claim

The paper does not claim that all reputation is adverse selection. It abstracts from effort, quality choice, contractual incentives, advertising, and welfare. Its contribution is to isolate one mechanism that had been underemphasized: the role of hidden type changes behind a publicly observed name.

9.5 Practical implication

The model explains why buyers pay for established names, why scandals cause name abandonment, why firms sometimes hide ownership changes, and why announcements such as “under new management” may be either helpful or harmful depending on what consumers infer.

9.6 Final takeaway

A name is valuable because it compresses history into a label. But when the person behind the label can change, reputation becomes both an asset and a lemons market. That duality is the central insight of the paper.